# EXECUTIVE SUMMARY

## 1. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as "Pueblo" along with the earlier towns where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

## 2. Financial Highlights

For CY 2014, the financial information of the municipality is presented below:

| Particulars | 2014 | 2013 | Increase/(Decrease) | |
|---|---|---|---|---|
| | | | Amount | Percentage |
| **Financial Condition** | | | | |
| Assets | 101,921,833.48 | 91,909,149.73 | 10,012,683.75 | 10.89% |
| Liabilities | 68,054,024.01 | 65,653,091.77 | (2,400,932.24) | (3.65%) |
| Government Equity | 33,867,809.47 | 26,256,057.96 | 7,611,751.51 | 28.99% |
| **Result of Operations** | | | | |
| Income | 69,122,161.75 | 60,047,583.45 | 9,074,578.30 | 15.06% |
| Expenses | 54,018,143.00 | 46,563,536.34 | 7,454,606.66 | 16.00% |
| **Appropriations, Allotments and Obligations** | | | | |
| Total Appropriation | 77,283,147.00 | 100,993,509.00 | (23,710,362.00) | (23.48%) |
| Total Obligations | 68,969,203.21 | 84,186,037.08 | (15,216,833.57) | (18.07%) |
| **Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs** | | | | |
| Nat'l Gov't Offices | 10,525,536.05 | 4,437,192.73 | 6,088,163.22 | 137.21% |
| Local Gov't Units | 1,250,000.00 | 11,952,000.00 | (10,702,000.00) | (89.54%) |

| Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs | | | | |
|---|---|---|---|---|
| Local Gov't Units | 0.00 | 500,000.00 | (500,000.00) | ( 100%) |

**3. Independent Auditor's Report on the Financial Statements**

The auditor rendered a qualified opinion on the financial statements due to (a) the effect on non-preparation of bank reconciliation statements for CY 2014 rendering the Cash in Bank account balances of P5,460,285.56 unreliable as at year end; (b) unreconciled Property, Plant and Equipment accounts with property records due to non-submission of the Report on the Physical Count of PPE as of December 31, 2014; (c) and Real Property Tax (RPT) and Special Education Tax (SET) Receivables balances amounting to P11,774,829.21 and P2,527,113.94 respectively, are unreliable since the amount set up at the beginning of the year was based on estimates and not on the computed amount due and collectibles from taxpayers.

**4. Summary of Significant Observations and Recommendations**

**a. Cash advances totaling P682,159.00 remained unliquidated at year-end due to failure of management to require the concerned officials and employees to settle their respective accountabilities.**

We recommend that management enforce the liquidation of outstanding cash advances and should not grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

**b. Daily collections of Revenue Collection Officers were not turned over intact at the close of business day to the Municipal Treasurer/Liquidating Officer, thus exposing government monies from possible misappropriations.**

We recommend that management remind collectors of their obligation to turn over all their collections intact at the end of every business day to the Municipal Treasurer/Liquidating Officer.

**c. Construction In Progress – Artesian Wells, Reservoirs, Pumping Station & Conduits amounting to P20,047,632.10 remained recorded as such in the books of accounts since 2009 thus, rendering the propriety of this account to be doubtful.**

We recommend that management exert effort to locate documents pertaining to the construction of the Iguig Water System as basis for reclassifying the Construction In Progress – Artesian Wells, Reservoirs, Pumping Station & Conduits account to its appropriate fixed asset accounts.

## 5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2014:

| Particulars | Beg. Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | 0 |
| Current Year | 0.00 | 10,000,000.00 | 0.00 | 10,000,000.00 | 0 |
| Total | 0.00 | 10,000,000.00 | 0.00 | 10,000,000.00 | 0 |
| **Disallowances** | | | | | 0 |
| Prior Years | 32,125.00 | 0.00 | 0.00 | 32,125.00 | 0 |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0 |
| Total | 0.00 | 0.00 | 0.00 | 32,125.00 | 0 |
| **Charges** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | 0 |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0 |
| Total | 0.00 | 0.00 | 0.00 | 0.00 | 0 |

## 6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the seven prior years' audit recommendations embodied in the 2013 Annual Audit Report, one was fully implemented, four were partially implemented and two were not implemented.